# Home Loan Guide - Overview

Sample Housing Finance Ltd. offers home loans for buying a ready flat or house, constructing a house, purchasing a plot, or renovating an existing home. This guide explains eligibility, charges, documents and the repayment process in simple language.

Loans are offered at a floating interest rate linked to the external benchmark rate, with a starting rate of 8.5% per annum for salaried applicants with a strong credit score.

- Loan amount: Rs. 5 lakh to Rs. 5 crore
- Maximum tenure: 30 years
- Processing fee: 0.5% of the loan amount plus GST
- Maximum financing: up to 80% of the property value

# Eligibility Criteria

Applicants must be Indian residents or NRIs meeting the minimum age and income requirements. Salaried, self-employed professionals and self-employed business owners can apply individually or jointly.

Eligibility is assessed on income stability, existing obligations, credit history and the value and legal status of the property.

- Minimum age: 21 years at the time of application
- Maximum age at maturity: 65 (salaried) / 70 (self-employed)
- Minimum monthly income: Rs. 25,000
- Minimum credit score: 700
- Work experience: 2 years (salaried), 3 years in business

# Interest Rates and Charges

The interest rate depends on your credit score. The table below shows the indicative annual rate and other applicable charges. Rates are reviewed every quarter and linked to the benchmark rate.

A late payment charge of 2.0% per month is levied on overdue EMIs. Prepayment on floating-rate loans taken by individuals attracts no penalty.

| Credit score | Interest rate (p.a.) | Processing fee |
|---|---|---|
| 750 and above | 8.50% | 0.50% + GST |
| 700 - 749 | 8.90% | 0.50% + GST |
| 650 - 699 | 9.40% | 0.50% + GST |
| Below 650 | 10.10% | 0.75% + GST |

# Documents Required

Please submit self-attested copies of the documents listed below. Originals may be requested for verification at the branch.

- Identity proof: Aadhaar, PAN card, passport
- Address proof: utility bill, rent agreement, passport
- Income proof: last 3 salary slips, Form 16 and 6 months' bank statements
- Self-employed: 3 years' ITR with computation of income, P&L; and balance sheet
- Property papers: sale agreement, title deed, approved plan, NOC from society
- Passport-size photographs: 2 per applicant

# Loan Amount, Tenure and EMI

The EMI depends on the loan amount, interest rate and tenure. The table below shows the monthly EMI at the starting rate of 8.5% per annum for common loan amounts.

Longer tenures reduce the EMI but increase the total interest paid. Choose a tenure you can comfortably service.

| Loan (Rs. lakh) | 10 years | 15 years | 20 years | 30 years |
|---|---|---|---|---|
| 20 | Rs. 24,797 | Rs. 19,695 | Rs. 17,356 | Rs. 15,378 |
| 40 | Rs. 49,594 | Rs. 39,390 | Rs. 34,713 | Rs. 30,757 |
| 60 | Rs. 74,391 | Rs. 59,084 | Rs. 52,069 | Rs. 46,135 |
| 80 | Rs. 99,189 | Rs. 78,779 | Rs. 69,426 | Rs. 61,513 |

# Application Process

The process is simple and can be completed online or at any branch. Our relationship manager will guide you through each step.

- Step 1: Fill in the application form and pay the login fee
- Step 2: Submit documents and complete KYC
- Step 3: Credit appraisal and income assessment
- Step 4: Legal and technical valuation of the property
- Step 5: Sanction letter and acceptance by the applicant
- Step 6: Agreement signing and disbursement

# Repayment and Prepayment

EMIs are collected on the 5th of every month through ECS/NACH mandate or post-dated cheques. You can change the EMI date once during the loan tenure.

You may prepay part or all of the loan at any time. Part-prepayments reduce either the EMI or the tenure, as per your choice.

- Minimum part-prepayment: three EMIs
- No prepayment penalty on floating-rate loans for individuals
- Foreclosure statement issued within 3 working days
- Title documents returned within 15 days of closure

# Insurance and Security

The property financed is mortgaged to the lender as primary security until the loan is fully repaid. Comprehensive property insurance against fire and natural calamity is mandatory.

Optional life insurance linked to the loan protects your family from the repayment burden in case of an unforeseen event.

- Property insurance: mandatory, premium paid by borrower
- Loan protection plan: optional
- Mortgage created through registered or equitable mortgage
- Lender is noted as the first beneficiary on the policy

# Tax Benefits

Home loan borrowers can claim deductions under the Income Tax Act, subject to the prevailing rules and the tax regime chosen. Please consult a tax advisor for your specific situation.

Deductions are generally available for interest paid on a self-occupied property and for principal repaid in the year, within the specified limits.

- Interest on a self-occupied property: deduction up to Rs. 2 lakh per year
- Principal repayment: deduction up to Rs. 1.5 lakh per year under the old regime
- Stamp duty and registration: eligible in the year of payment
- Joint borrowers can each claim their share

# Terms, Declaration and Contacts

This document is for information only and does not constitute an offer or commitment. All loans are subject to credit approval, and the lender reserves the right to change rates, fees and terms without prior notice.

The applicant confirms that all details and documents provided are true and complete.

- Helpline: 1800-000-0000 (toll free)
- Email: homeloans@samplehousing.example
- Head office: Sample Housing Finance Ltd., Ahmedabad
- Grievance officer: available on the website